commodity or provided or otherwise controlled not less than one-third of any services rendered in India with aggregate assets of Rs 1 crore or more was considered a ‘dominant undertaking’ and was required to register with the MRTP Commission. Likewise, large undertakings (by themselves or with interconnected undertakings) with assets of Rs 100 crore or more, even if these were not dominant undertakings, were also required to register. The dominant and large entities were also required to obtain the approval of the MRTP Commission, besides taking due licence, to undertake any substantial expansion.

The Foreign Exchange and Regulation Act (FERA) was enacted in 1973, which tightly controlled foreign investments in the Indian industry. Raising capital by making capital issues was further tightened.

Reviews of the industrialization and working of the licencing policy undertaken in the early 1970s revealed that the government was not able to develop an efficient public sector; and had fettered the private sector in the country. Responding to this sad state of affairs, some relaxations in the operation of the licencing system were granted in the Revised Licencing Policy, 1973, and Industrial Licencing Policy, 1975. However, old habits die hard. The Licencing Policy, 1977, tightened the controls again.

Sick Industry Not Allowed to Die

Industrial sickness in India was the direct result of the defective industrial policy. Industry was unable to invest in new technology on account of the highly restrictive licencing policy that did not permit new investment and expansion. Crony capitalism ensured that licences were cornered by the few who could find a market for their shoddy products as demand outstripped supply. For many industrial operators, it was profitable to make money by driving the industry sick rather than operating an undertaking profitably.

In tune with the times, the government believed it was a better industrialist. IDRA-1951 empowered the Central government to authorize a